NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 12.04.2023 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(A)Merger & Amalgamation/3/230/AMR/2023		230	Continental Coffee Private Limited (Demerged Company) and CCL products (India) Limited (Resulting Company)

ORDER

Mr.Y.Suryanarayana, Counsel for the Applicant present. Orders pronounced. CA(CAA)/3/230/AMR/2023 is allowed, vide separate orders.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

RSN

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATI BENCH, AT MANGALAGIRI

CA (CAA)/3 /230/AMR/2023

In the matter of the Companies Act, 2013
AND
In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of SCHEME OF ARRANGEMENT
BETWEEN
CONTINENTAL COFFEE PRIVATE LIMITED (CCPL) (DEMERGED COMPANY)
AND
CCL PRODUCTS (INDIA) LIMITED (RESULTING COMPANY)

BETWEEN:

CCL Products (India) Limited,
(CIN: L15110AP1961PLC000874)
Registered office at:
Duggirala, Guntur,
Andhra Pradesh -522330
Represented by its Company Secretary
Ms.Sridevi Dasari

....Applicant/ Resulting Company

Date of pronouncement of orders: 12.04.2023

Coram:

Justice Telaprolu Rajani, Member Judicial.

For the Applicant : Mr.Y.Suryanarayana, Advocate

ORDER

(Per: Justice Telaprolu Rajani, Member Judicial)

1. The present Company Application filed under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant Companies inter alia seeking:

   i) to dispense with the requirement of holding the meeting of the equity shareholders, Secured Creditor, Unsecured Creditor and Trade Creditors of the Resulting Company for the purpose of considering the proposed scheme of Arrangement, since the Demerged Company is wholly owned subsidiary of the Resulting Company.

2. The Registered Office of the Applicant Company is situated in the State of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of present case are as follows:

   a. M/s. CCL Products (India) Limited, Applicant/Resulting Company was originally incorporated under the name and style "Sahayak Finance & Investment Corporation Limited" under the provisions of Companies Act, 1956, on 22.03.1961. Subsequently, the Applicant's name was changed to "Continental Coffee Limited". Subsequently on 21.11.2002, again the Applicant's name was changed from Continental Coffee Limited to "CCL Products (India) Limited". As on 31.01.2023, the Authorized Share Capital is Rs.30,10,00,000/-, divided into 15,05,00,000 equity shares of Rs.2/- each and the issued,

subscribed and paid-up share capital is Rs.26,60,55,840/- divided into 13,30,27,920 equity shares of Rs.2/- each. The main objects of the Applicant/Resulting Company are to carry on the business solely or in collaboration with others, Indian or foreign, in manufacture of Coffee, Tea, Chicory, Cocoa, Milk Products, Condensed Milk, Cheese, Plain and all flavoured, Yoghurt, Shrikhand, Creamers, including non-dairy creamer, sweetener, natural, & artificial and the like, in all or any of their forms (including spray dried, freeze dried, agglomerate, granulated, blended and preparations thereof for consumption by human beings and also including all versions, alternatives, substitutes thereof and therefore in whatsoever manner, that is to say, either mechanically or otherwise, by employing electricity or any other power or energy, and sale thereof, either in whole sale and/or in retail or otherwise, whether in the country or abroad and also processing, manipulating, preparing, preserving, carrying, refining, bottling, buying, rendering marketable and dealing in Coffee, Tea, Chicory, Cocoa and the like in their prepared, manufactured or raw state and whether in wholesale and / or in retail, etc., and other allied activities.

b. The Resulting Company is the holding company of the demerged company. The equity shares of the resulting company are listed and traded on BSE Limited ("BSE") bearing Scrip Code: 519600 and on National Stock Exchange of India Limited ("NSE") bearing Symbol: CCL. As on 31.03.2023, shareholding pattern of the Promoter & Promoter Group of 6 shareholders is 6,15,40,932

shares (i.e., 46.26% shareholding) and shareholding pattern of the public of 54,121 shareholders is 7,14,87,528 shares (i.e., 53.74% shareholding).

c. M/s.Continental Coffee Private Limited, Demerged Company was incorporated under the provisions of Companies Act, 1956, on 11.05.2011. As on 31.01.2023, the Authorized Share Capital is Rs.7,00,00,000/-, divided into 70,00,000 equity shares of Rs.10/- each and the issued, subscribed and paid-up share capital is Rs.7,00,00,000/-, divided into 70,00,000 equity shares of Rs.10/- each. The main objects of the Demerged Company is to carry on the business, either solely or in collaboration with other persons or entities, whether of Indian or foreign origin, to manufacture, buy, sell retail, wholesale, trade, market, import, export process, manipulate, prepare, preserve, carry on, refine, bottle and to deal in all types of coffee, tea, chicory, cocoa, milk, condensed milk, milk products, sugar, sugar substitutes and other similar products; manufactured or raw state, whether in India or elsewhere either in wholesale and / or in retail or otherwise and manufacture, sell and deal, in any manner whatsoever, with Plant and Machinery, Equipment, Know-how for manufacture of coffee, tea, cocoa, milk, milk products, sugar, sugar substitutes and other similar products, etc., and other allied activities.

d. The Demerged Company is a wholly owned subsidiary of the Resulting Company. The latest list of equity shareholders of the demerged company as per the Register of members of the

Demerged Company is that of only two shareholders i.e., CCL Products (India) Limited having 69,99,999 shares and Mr.Challa Srishant having 1 share.

e. The Board of Directors of the Applicant/Resulting Company at their respective meetings held on 02-12-2022 have resolved to enter into a Scheme of Arrangement between Continental Coffee Private Limited ("Demerged Company") and CCL Products (India) Limited ("Resulting Company") and their respective Shareholders and Creditors under sections 230 to 232 of the Companies Act, 2013 and all other applicable provisions of the said Act and rules made thereunder.

f. The said Scheme of Arrangement between Continental Coffee Private Limited ("Demerged Company") and CCL Products (India) Limited ("Resulting Company") and their respective Shareholders and Creditors was approved by the Board of Directors of both Companies with some objectives that are:

   i. The Demerged Company, presently, has two Divisions/ undertakings viz. Marketing and Distribution of Coffee and FMCG Products division (Hereinafter referred to as "Coffee Division") and the food and Beverage Kiosks including 'Coffee on Wheels' division (hereinafter referred to as "F & B Division"). Each of the businesses of the Demerged Company operates in different business environments and require different experience and are subject to different

profitability, growth opportunities, future prospects and risks.

ii. The nature of risk and competition involved in each of these businesses is distinct and consequently nature of considerations, factors and commercial parameters applicable to the business of Marketing and Distribution of Coffee and FMCG Products being different and divergent in nature in comparison to that of food and Beverage Kiosks including 'Coffee on Wheels'. With a view to conduct the businesses more efficiently and more profitably, enhance shareholders value and insulate both the businesses from the risks of each other, it is proposed to reorganize and segregate, the Marketing and Distribution of Coffee and FMCG Products division by way of Demerger.

iii. The Demerger of Coffee Division from the Demerged Company into the Resulting Company will facilitate the Demerged Company to focus on its remaining business of running and maintaining Food and Beverage Kiosks including 'Coffee on Wheels'. Further, it will facilitate, help and enable the Resulting Company to focus on its Coffee manufacturing business along with marketing and distribution thereof, both at international level and at domestic level, with greater profitability. Thus resulting in simplification of the respective Company's structure,

improving their cost efficiency and further benefitting their stakeholder.

iv. The arrangement will further enable appropriate consolidation of activities of Demerged Company and Resulting Company by pooling and more efficient utilization of their resources, greater economies of scale, reduction in overheads and other expenses and improvement in various operating parameters.

v. The arrangement will improve the organizational capability and leadership, arising from the pooling of human capital who have the diverse skills, talent and vast experience to compete successfully in an increasingly competitive industry.

vi. Cost savings are expected to flow from more focused operational efforts, rationalization, standardization and simplification of business process, elimination of duplication and rationalization of administrative expenses.

vii. It is therefore, proposed that the Coffee Division of the Demerged Company be segregated and demerged, pursuant to a Scheme of Arrangement and be transferred to the Resulting Company for achieving independent focus pursuant to a Scheme of Arrangement under Sections 230 to 232 of the Companies Act, 2013. The managements of the respective Companies are of the view that this Scheme is in

the interest of the customers, employees, lenders, vendors, shareholders and all other stakeholders of the respective Companies.

g. The scheme of Arrangement provides for the Demerger of the Marketing and Distribution of Coffee and FMCG Products division (hereinafter referred to as "Coffee Division") of the Demerged Company into the Resulting Company. This Scheme of Arrangement also provides for various other matters consequential, supplemental and / or otherwise integrally connected therewith. The sequence of events contemplated under the Scheme is that the Demerger of the Marketing and Distribution of Coffee and FMCG Products division (hereinafter referred to as "Coffee Division") of the Demerged Company and vesting of the same in the Resulting Company, on a going concern basis and Cancellation of loans made by the Resulting Company to the Demerged Company relatable to the Demerged undertaking, outstanding as on the Appointed Date i.e., 01.10.2022.

h. The present scheme solely provides for the demerger of a division of a wholly owned subsidiary into its parent company, no formal approval, is required from the Stock Exchange or Securities and Exchange Board of India ('SEBI') for the scheme, in terms of provisions of the Securities and Exchange Board of India (Listing Obligations

and Disclosure Requirements) Regulations, 2015, read with the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) (Amendment) Regulations, 2017, and SEBI Circulars. In terms of the SEBI Regulations, the present Scheme of Arrangement is only required to be filed with BSE and NSE (the Stock Exchanges where the Resulting Company is listed) for the purpose of disclosure and dissemination on its website. The Resulting Company will comply with the provisions of the Securities Contracts (Regulation) Act, 1956, the Securities Contracts (Regulation) Rules, 1957, the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Listing Agreement, SEBI Regulations, SEBI Regulations, SEBI Circulars and other applicable provisions, if any, in connection with the Scheme and other connected matters.

i. The present Scheme of Arrangement does not contemplate any issue / allotment of shares by the Resulting Company (i.e., the transferee Company) to the Shareholders of the Demerged Company (i.e., transferor Company), since the Demerged Company is the Wholly Owned Subsidiary Company of the Resulting Company. Need to determine Share Exchange Ratio or valuation does not arise. Hence, Valuation Report has not been obtained.

j. The Board of Directors of both the Companies i.e., Demerged Company and the Resulting company, at their respective meetings held on 02.12.2022, approved the Scheme of Arrangement with appointed date as 01.104.2022 between Continental Coffee Private Limited ("Demerged Company") and CCL Products (India) Limited ("Resulting Company"), and their respective Shareholders and Creditors.

4. No investigation or proceedings have been instituted or are pending in relation to both the Companies.

5. NSE and BSE have given their acknowledgment of receiving the scheme of arrangement filed by the Resulting Company.

6. The Scheme does not in any way violate, override or circumscribe any provisions of the Companies Act, 2013.

7. There is no winding up petition or resolution process under the provisions of IBC, pending against the Applicant Companies in any court or Tribunal in India.

8. The Applicant Company has filed certificate of the Practicing Company Secretary, stating that as on 31.01.2023, there are two categories of equity shareholders i.e., Promoter & Promoter Group (6 shareholders) and Public (54,121 shareholder) totaling to 54,127 Equity Shareholders, together holding 13,30,27,920 equity shares. The demerged company is wholly owned subsidiary company of the

Resulting Company hence, the equity shareholders consent is not required for agreeing to the proposed Scheme.

9. The Applicant/Resulting Company has filed certificate of the Auditor stating that as on 31.01.2023, there are Seven (7) Secured Creditors having a debt of Rs.5,06,68,26,650/-, Three (3) Unsecured Creditors having a debt of Rs.91,16,28,025/- and Four Hundred and Ninety Five (495) Trade Creditors having a debt of Rs.48,76,86,675/-. The demerged company is wholly owned subsidiary company of the Resulting Company. Hence, the Secured Creditors, Unsecured Creditors and Trade Creditors consent is not required, for the proposed Scheme.

10. Heard the submissions made in this regard by Mr.Y.Suryanarayana, Counsel appearing for the Applicant Company and perused the documents filed. The counsel for the Applicant submits that the consent affidavits from any of the creditors and equity shareholders are not required, since the Demerged Company is the wholly owned subsidiary company of the Resulting Company and he draws the attention of this Tribunal to the judgment of NCLAT in 2021 SCC Online NCLAT 420 in the matter of Patel Hydro Power private Limited, wherein it was held that " ***to reiterate, we observe that the rights and liabilities of Secured and Unsecured Creditors were not getting affected in any manner by way of the proposed scheme as no new shares are being issued by the 'Transferor Company' and no compromise is offered to any Secured and Unsecured Creditors of the 'Transferee Company'. Therefore, we are of the considered view***

that when the 'Transferor and Transferee Company' involve a parent company and a wholly owned subsidiary the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors can be dispensed with as the facts of this case substantiate that the rights of the Equity Shareholders of the 'Transferee Company' are not being affected. Therefore, we hold that obtaining 90% consent Affidavits from its unsecured Creditors is not required keeping in view the facts of the attendant case."

11. In view of the above cited judgement, the consent affidavits, agreeing to the proposed Scheme of Arrangement from its Equity Shareholders, Secured Creditors, Unsecured Creditors and Trade Creditors are not required. Hence the meeting of the Equity Shareholders, Secured Creditors, Unsecured Creditors and Trade Creditors of the Applicant Company can be dispensed with, in terms of Section 230(9) of the Act.

12. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the applicant companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh; (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules.

The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

13. In the event of the Applicant Company approaching this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the Scheme to put forth his/their contention(s) before the Tribunal. Hence ordered.

ORDER

The Company Application i.e., CA(CAA)/3/230/AMR/2023 is allowed and disposed of accordingly.

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu